

Table 65.6 Volume Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Volume trend	78% down	77% down	84% down	77% down
Rising volume trend performance	37%	39%	-13%	-22%
Falling volume trend performance	38%	28%	-16%	-21%
Heavy breakout volume performance	40%	34%	-17%	-22%
Light breakout volume performance	34%	24%	-14%	-21%

Rising/Falling volume. Answer: Yes. Bull markets prefer a falling volume trend, and bear markets prefer a rising trend. Keep in mind that bear markets had fewer samples than bull markets (because bear markets were shorter in length and didn't happen as often).

Breakout day volume. Heavy breakout volume helps performance across the board. Finally! If you trade like I do, this finding won't help you much. Why? Because I place a buy order a penny above the top trendline, so an upward breakout will trigger the order automatically. I won't know the volume level until day's end, and by then it's too late. If you trade a throwback or pullback, then yes, breakout day volume may help you avoid setups likely to underperform.

Table 65.7 shows how often price reaches a stop location, but only for downward breakouts. My computer doesn't calculate stops for upward breakouts correctly.